

Nominal Return The return on an investment before adjustment for inflation.

Noncorrelation A situation in which the changes in the value of two different investments are completely independent of each other.

Open-End Fund An investment entity that has the ability to issue or redeem the number of shares outstanding on a daily basis. Prices are quoted once per day, at the end of the day, at the net asset value (NAV) of the fund.

Operating Expenses The amount paid for asset maintenance or the cost of doing business. Earnings are distributed after operating expenses are deducted.

Option A contract in which a seller gives a buyer the right, but not the obligation, to buy or sell securities at a specified price on or before a given date.

Overlap The situation that arises when two indexes or mutual funds are not mutually exclusive. The degree to which two funds or indexes have similar holdings, as measured in percentage of market value.

Payable Date The date when dividends or capital gains are paid to shareholders. For mutual funds, the payable date is usually within two to four days of the record date. The payable date also refers to the date on which a declared stock dividend or bond interest payment is scheduled to be paid.

Portfolio Transaction Costs The expenses associated with buying and selling securities, including commissions, purchase and redemption fees, exchange fees, and other miscellaneous costs. In a mutual fund prospectus, these expenses would be listed separately from the fund's expense ratio. They do not include the bid-ask spread.

Positive Correlation A situation in which the value of one of two investments moves in unison with the value of the other.

Premium An amount by which the price of a security exceeds the face value or redemption value of that security or the price of a comparable